change in underlying instruments can be predicted using technical analysis.

Apart from Delta and Gamma, the next important factor which affects the options premium is **Time Decay (Theta)**.

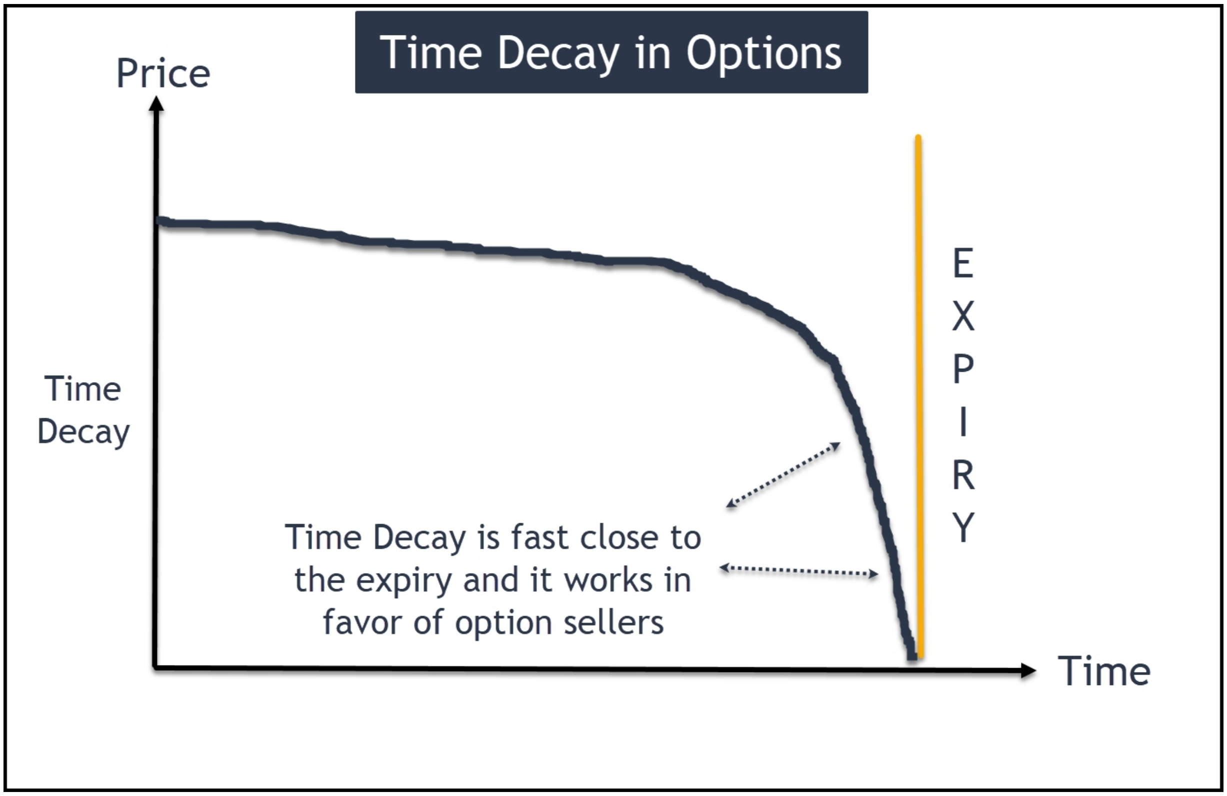

Image 8.3 – Time Decay in Options

As shown in the above image, time decay works in favor of option sellers. It will be aggressive when the option contract is close to the expiry. All OTM options quickly run towards zero at the time of expiry, and many option sellers attempt to make some profits from this move.

Because of this reason, option selling provides the highest winning probability as compared to option buying.

For example, a trader analyzes that a stock will go up in the next few days. So he decides to sell put options to get the premium to his pockets.

He will lose money only if the price starts to trade below his options strike price. In all other cases, i.e., when the price goes upside or the price goes sideways, he will make money.